RAM ENTERPRISE P&P WBS STRUCTURE – 03_LEASING

03_LEASING

(RAM Policies & Procedures Manual – WBS Structured Framework)

This section is structured in full WBS coding aligned with governance logic, risk control, and operational traceability (ready for integration with 01_Governance and 02_Investment).

03.1 Leasing Strategy & Portfolio Planning

03.1.1 Leasing Policy

Purpose:
Define leasing objectives, tenant mix philosophy, pricing approach, and risk thresholds.

03.1.1.1 Leasing Objectives

- Revenue maximization vs. occupancy optimization
- Target occupancy rate (%)
- WALE (Weighted Average Lease Expiry) target
- Tenant credit quality threshold

03.1.1.2 Portfolio Segmentation

- Asset class (Retail / Office / Mixed-use / Industrial)
- Tenant category (Anchor / SME / Corporate / Government)
- Geographic clustering strategy

03.1.1.3 Rental Strategy

- Market benchmarking mechanism
- Indexation rules
- Turnover-based leasing policy
- Incentive framework (fit-out period, rent-free, step-up rent)

03.1.1.4 Delegation of Authority (DoA)

- Leasing Manager approval limit
- Leasing Committee approval threshold
- Board approval threshold

Forms:

- F03.1 Leasing Strategy Approval Form
- F03.2 Market Benchmark Template

03.2 Tenant Acquisition & Marketing

03.2.1 Tenant Targeting Procedure

03.2.1.1 Lead Generation

- Brokerage engagement
- Direct outreach
- Digital listing platforms

03.2.1.2 Tenant Pre-Screening

- Business profile review
- Financial strength check
- Reputation assessment
- Strategic fit scoring

03.2.1.3 Tenant Risk Rating

- Credit score classification (A/B/C/D)
- Industry exposure cap
- Concentration ratio analysis

Forms:

- F03.3 Tenant Application Form
- F03.4 Tenant Risk Assessment Matrix

03.3 Lease Structuring & Negotiation

03.3.1 Commercial Terms Structuring

03.3.1.1 Core Lease Terms

- Lease duration
- Rental rate (base + variable)
- Escalation clause
- Security deposit
- Fit-out contribution

03.3.1.2 Financial Modeling

- IRR impact
- NPV calculation
- Sensitivity (vacancy, default risk)
- Cashflow forecast impact

03.3.1.3 Incentives Governance

- Rent-free approval process
- Cap on incentives (% of lease value)
- Payback analysis

Forms:

- F03.5 Lease Commercial Terms Sheet
- F03.6 Lease Financial Impact Sheet

03.4 Lease Approval & Contracting

03.4.1 Lease Approval Workflow

03.4.1.1 Internal Review

- Leasing Manager sign-off
- Legal review
- Finance validation

03.4.1.2 Risk & Compliance Check

- AML screening
- Sanctions list check
- Regulatory compliance validation

03.4.1.3 Approval Committee

- Documentation pack submission
- Voting record
- Approval minutes

03.4.1.4 Contract Execution

- Contract drafting
- Signature authority verification
- Digital archiving

Forms:

- F03.7 Lease Approval Memo
- F03.8 Legal Clearance Form
- F03.9 Lease Execution Checklist

03.5 Lease Administration & Monitoring

03.5.1 Lease Setup Procedure

03.5.1.1 ERP Registration

- Tenant master file creation
- Rent schedule input
- Indexation automation

03.5.1.2 Billing & Collection

- Invoice generation cycle
- Payment monitoring
- Grace period management
- Penalty calculation

03.5.1.3 Deposit Management

- Deposit custody control
- Reconciliation
- Refund policy

Forms:

- F03.10 Lease Data Entry Form
- F03.11 Rental Collection Tracker

03.6 Lease Performance & Renewal

03.6.1 Performance Monitoring

03.6.1.1 KPI Tracking

- Occupancy rate
- Collection rate
- WALE
- Tenant turnover ratio

03.6.1.2 Tenant Evaluation

- Payment behavior score
- Strategic value score
- ESG compliance (if applicable)

03.6.1.3 Renewal Decision Matrix

- Market revaluation
- Repricing scenario
- Retention vs replacement analysis

Forms:

- F03.12 Lease Performance Dashboard
- F03.13 Renewal Recommendation Memo

03.7 Termination & Exit Management

03.7.1 Lease Termination Procedure

03.7.1.1 Expiry Process

- Notice timeline tracking
- Inspection checklist
- Reinstatement validation

03.7.1.2 Early Termination

- Penalty calculation
- Legal claim evaluation
- Asset recovery plan

03.7.1.3 Unit Handover

- Snag list
- Damage assessment
- Deposit adjustment

Forms:

- F03.14 Termination Notice Template
- F03.15 Handover Inspection Report

03.8 Leasing Risk & Control Matrix (Aligned with COSO & ISO 37301)

Risk ID	Risk Description	Control Type	Control Owner	Frequency	Evidence
L-01	Leasing below market	Preventive	Leasing Manager	Per deal	Benchmark report
L-02	Tenant default	Preventive	Finance	Quarterly	Credit review
L-03	Unauthorized incentive	Preventive	Leasing Committee	Per approval	Approval memo
L-04	Contract legal gap	Preventive	Legal Dept	Per contract	Legal clearance
L-05	Revenue leakage	Detective	Finance	Monthly	Collection report

03.9 BPMN Logical Flow (Textual Representation)

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Lead Generated → Tenant Screening → Risk Rating →
Commercial Structuring → Financial Modeling →
Internal Review → Committee Approval →
Contract Execution → ERP Setup → Billing → Monitoring →
Renewal or Termination
```

Integration Points with Other RAM Sections

- Linked to **02_Investment** → Rental assumptions in asset valuation
- Linked to **04_Facility_Management** → Tenant operational coordination
- Linked to **06_Performance** → Revenue & occupancy KPIs
- Linked to **07_Risk_Compliance** → AML & legal compliance

forms